

POL-010

Human Rights & Responsible Business Conduct Policy

Group Functions & All KBC Business Lines

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About this policy: This policy explains KBC's commitment to respecting human rights — in our own operations, in our supply chain, and in the companies we finance and invest in.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KBC believes that businesses have a responsibility to respect human rights — in their own operations, in their supply chains, and in the companies they finance and invest in. This is not simply a legal obligation. It is a reflection of our values as an organisation that operates across five European countries and affects the lives of millions of people. This policy sets out what that responsibility means in practice.

2. Who This Applies To

This policy applies to all KBC employees, with particular relevance to those in procurement, corporate lending, asset management, and sustainability reporting.

3. KBC's Human Rights Commitments

KBC is committed to respecting the human rights of its employees, customers, the communities it operates in, and the workers in its supply chain. In practice, this means we identify where our activities might cause or contribute to human rights harm; we take steps to prevent or mitigate that harm; and where harm has occurred, we support access to remedy. We do not simply publish a policy and consider our obligation discharged.

4. Due Diligence in Our Supply Chain

KBC conducts annual due diligence on significant suppliers. This includes self-assessment questionnaires, third-party ESG screening, and site audits for suppliers identified as high-risk. High-risk sectors — IT hardware, construction, catering, textiles — receive additional scrutiny because of the known prevalence of labour rights issues in global supply chains.

Where a supplier is found to have serious human rights issues, we do not simply walk away. We engage with the supplier to understand the issue and require a remediation plan. If the supplier cannot or will not address the problem, we end the relationship.

What does 'tier-2' mean?

Your direct supplier is tier-1. The companies that supply your supplier are tier-2. KBC's current due diligence covers tier-1. We are extending it to tier-2 because experience shows that the worst human rights abuses often occur further down the supply chain, not in the direct supplier.

5. Human Rights in Lending and Investment

When KBC lends to or invests in a company, we become associated with that company's conduct. We assess the human rights risk profile of our significant lending and investment relationships as part of our ESG due diligence process. Companies in sectors or geographies with elevated human rights risk receive additional scrutiny.

6. Our Climate Transition Plan

KBC has committed to a net-zero pathway and published a climate transition plan with concrete targets for reducing our own emissions and financed emissions in our portfolio. This plan is reviewed annually.

7. Your Responsibilities

- In procurement, consider human rights and ESG performance alongside price and quality.
- In lending and investment, flag human rights concerns in due diligence assessments.
- If you become aware of human rights issues in our supply chain or portfolio, escalate them.

8. Getting Help

- **Group Sustainability Team** — for human rights due diligence guidance.
- **KBC Compliance Advisory** — for policy questions.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

9. Policy Review

This policy is reviewed annually.